

Northwind Manufacturing Corp (fictional)

Management's Discussion and Analysis - Three Months Ended June 30, 2026

Overview. Revenue for the quarter was \$4,820 million, an increase of 9 percent compared with \$4,421 million in the prior-year quarter. The increase reflected higher volumes in the industrial segment and improved pricing across regions.

Results of Operations. Gross margin improved to 34.2 percent from 32.8 percent, driven by lower input costs and favorable product mix. Operating expenses rose 4 percent, less than the rate of revenue growth. Operating cash flow of \$910 million covered capital expenditures of \$240 million, yielding free cash flow of \$670 million for the quarter.

Liquidity and Capital Resources. Cash and equivalents of \$3,150 million at quarter end remain sufficient for planned investments. The company repurchased 1.2 million shares during the quarter under its announced program.

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